



SECOND QUARTER 2014 FINANCIAL RESULTS

August 5, 2014

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, expectations regarding products, future use of cash and dividend payments, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2013, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. These non-GAAP financial measures should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG 2Q RESULTS

- Delivered operational revenue growth across all regions and species
- Reflects strength and balance of our diverse portfolio
- Livestock business growth responds to demands for meat protein

DELIVERING IN SPITE OF HEADWINDS

- Increased competition in companion animal parasiticides and vaccines
- PEDv continues to impact global swine industry
- Customer demand for APOQUEL® exceeds product availability in initial launch markets

RAISING LOWER END OF GUIDANCE FOR 2014

- Increasing the lower end of the guidance range for revenue, adjusted EPS and SG&A for the full year, 2014

**GLENN DAVID
ACTING CHIEF FINANCIAL
OFFICER**

INCOME STATEMENT HIGHLIGHTS

	Second Quarter		
	2014*	2013*	Change
Revenue	\$1,158	\$1,114	4%
Reported Net Income	136	128	6%
Reported Diluted EPS	\$0.27	\$0.26	4%
Adjusted Net Income ¹	189	178	6%
Adjusted Diluted EPS ¹	\$0.38	\$0.36	6%

*Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Second Quarter				
	2014*	2013*	Change	Foreign Exchange	Operational ²
Revenue	\$1,158	\$1,114	4%	(2)%	6%
Adjusted Cost of Sales ¹	405	400	1%	(3)%	4%
<i>as a percent of revenues</i>	35.0%	35.9%	NA	NA	NA
Adjusted SG&A Expenses ¹	364	339	7%	(2)%	9%
Adjusted R&D Expenses ¹	91	91	—	(1)%	1%
Adjusted Interest Expense ¹	29	32	(9)%	—	(9)%
Adjusted Other (Income) / Deductions ¹	(3)	(3)	—	**	**
Adjusted Tax Rate ¹	28.4%	29.4%	NA	NA	NA
Adjusted Net Income ¹	189	178	6%	(5)%	11%

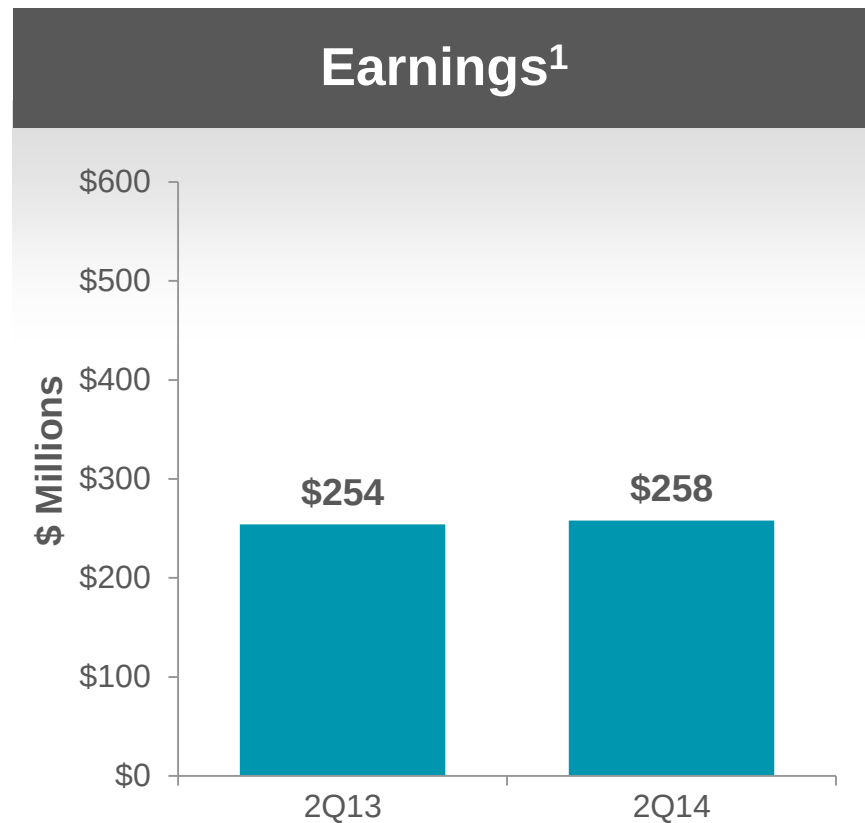
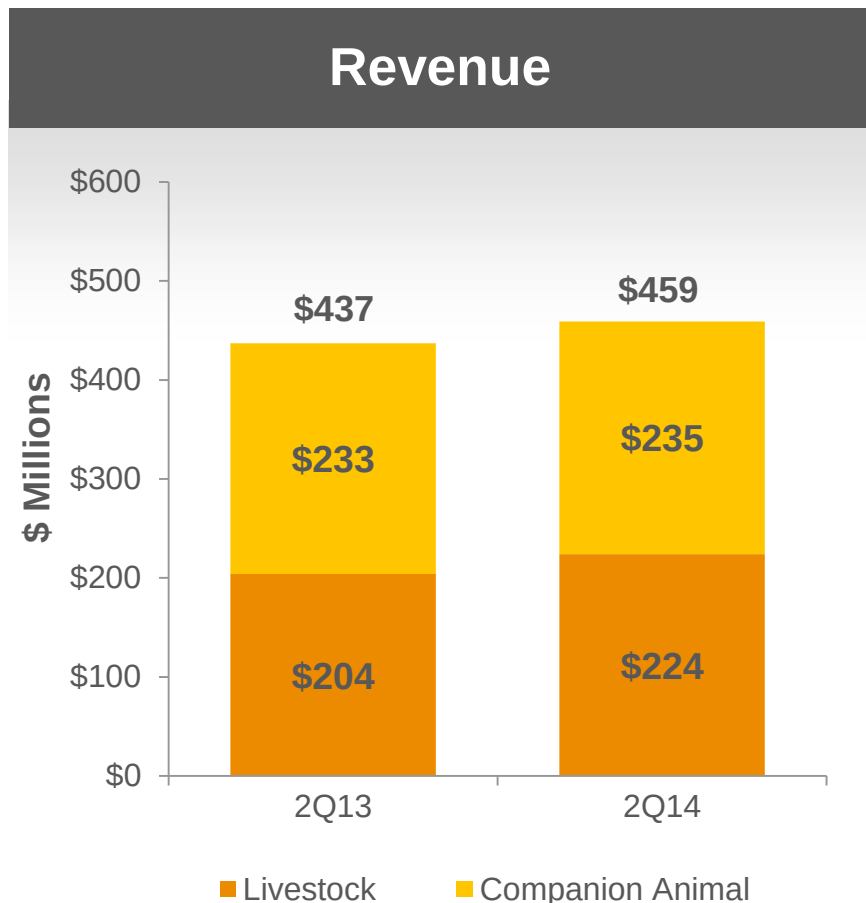
*Millions of dollars, ** Calculation not meaningful

NA – Not applicable

¹ Adjusted cost of sales, adjusted selling, general and administrative expenses (SG&A), adjusted research and development expenses (R&D), adjusted interest expense, adjusted other (income) / deductions, adjusted tax rate and adjusted net income (non-GAAP financial measures) are defined as the corresponding reported U.S. generally accepted accounting principles (GAAP) income statement line items, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² Operational change excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE

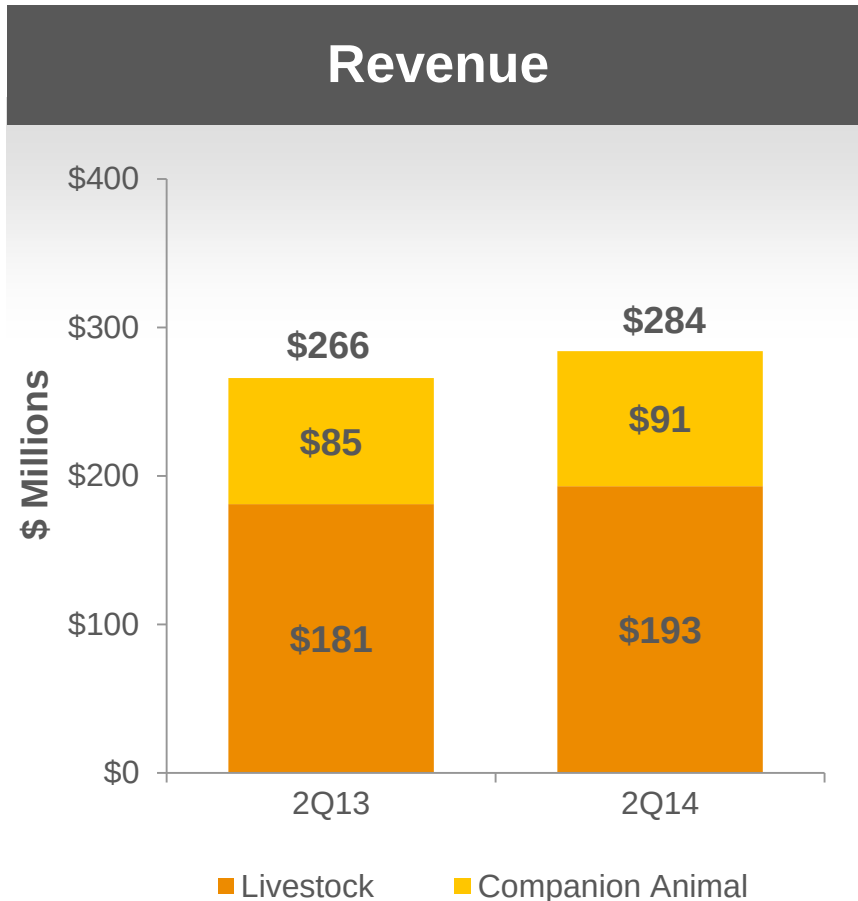


5% Growth

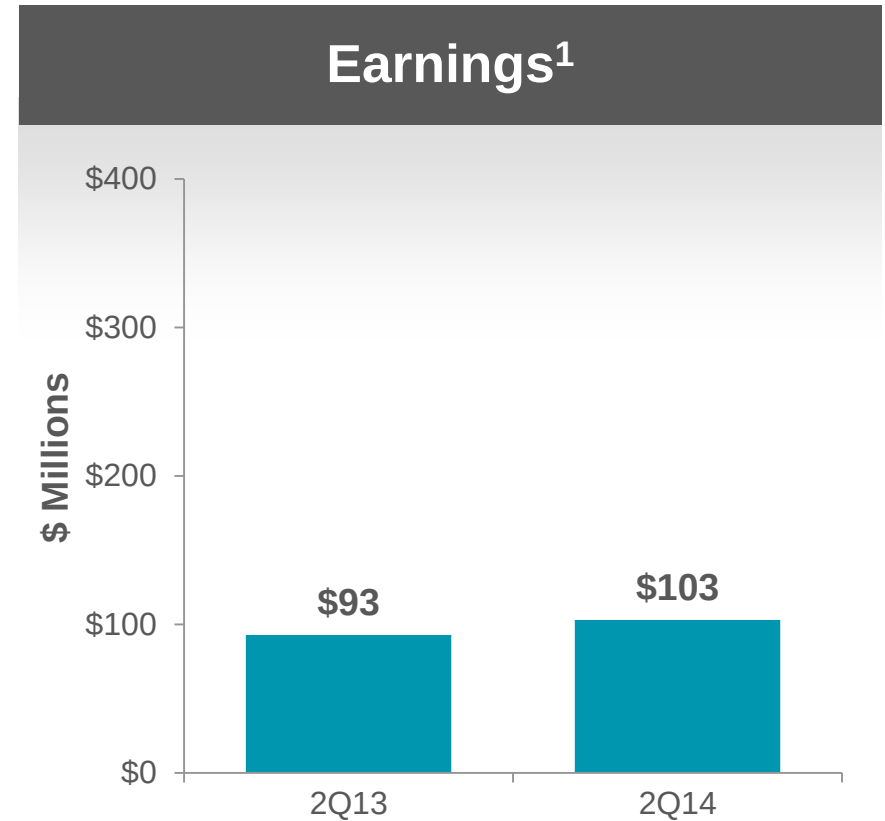
2% Growth

¹Defined as income before provision for taxes on income

EuAfME SEGMENT PERFORMANCE



7% Reported Growth
4% Operational² Growth

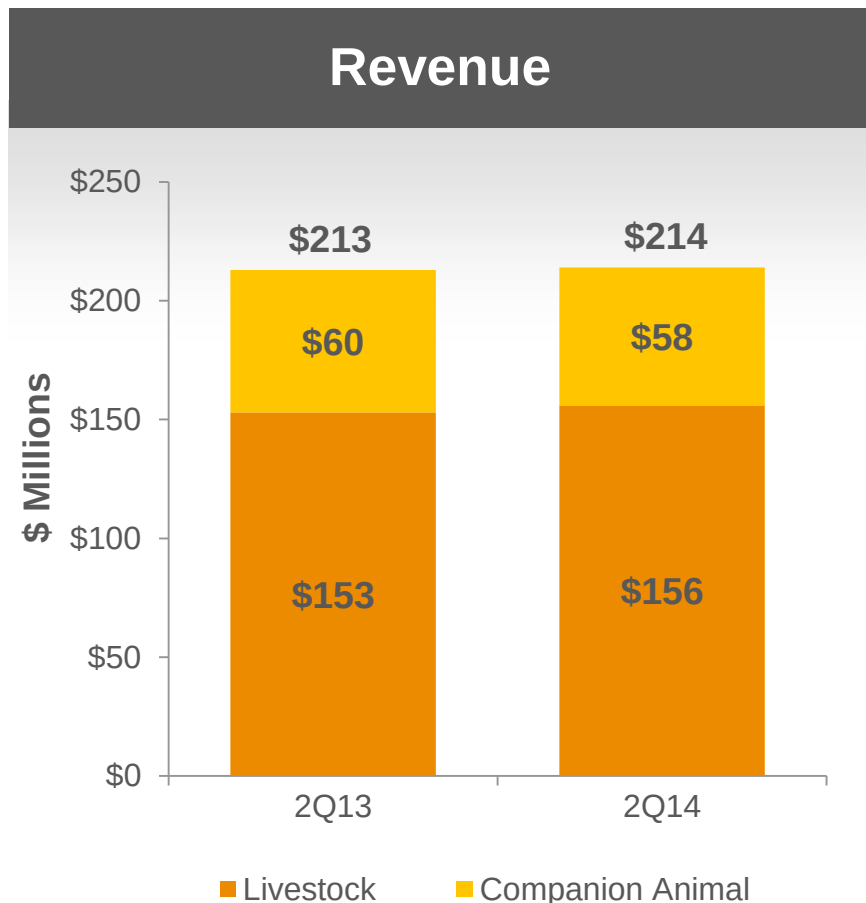


11% Reported Growth
9% Operational² Growth

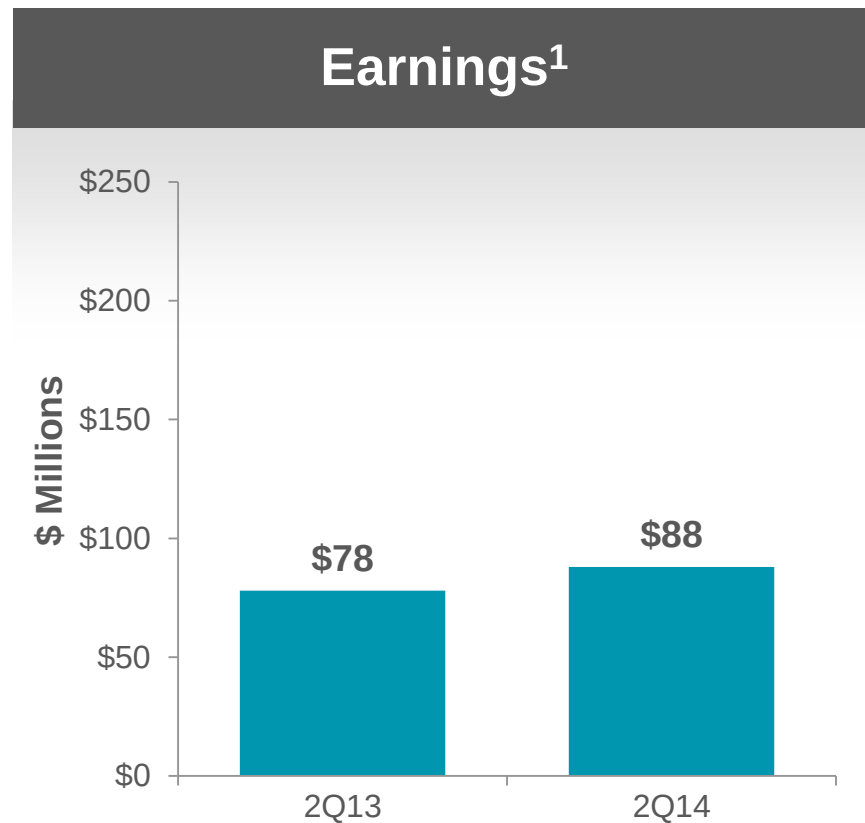
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

CLAR SEGMENT PERFORMANCE



0% Reported Growth
11% Operational² Growth

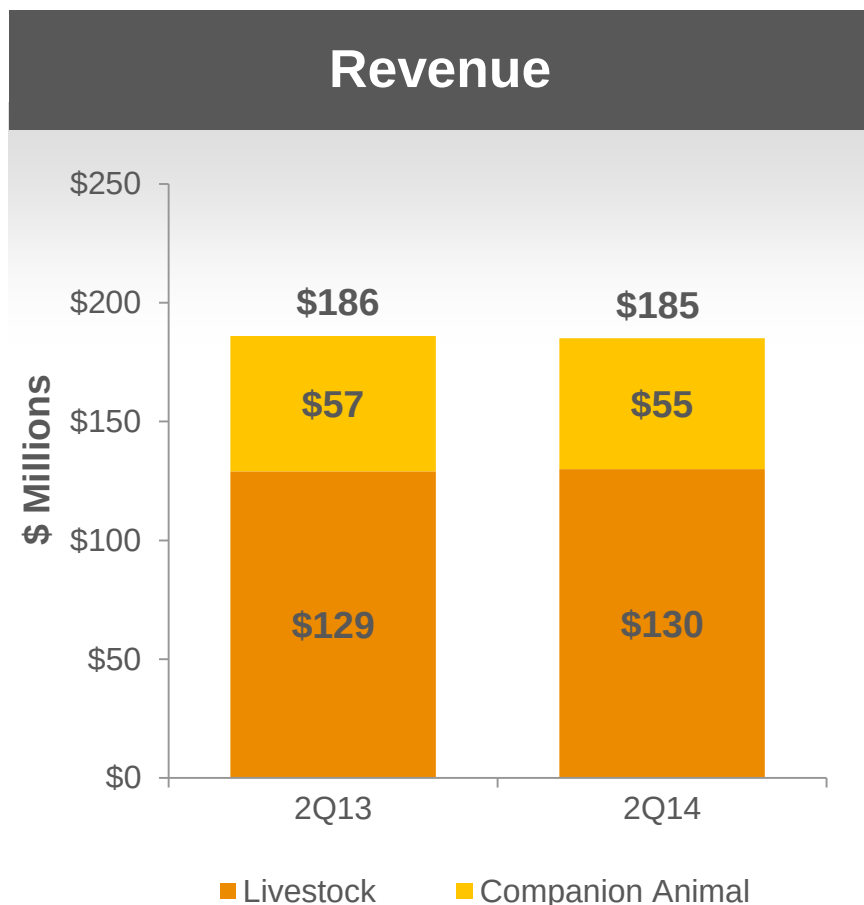


13% Reported Growth
16% Operational² Growth

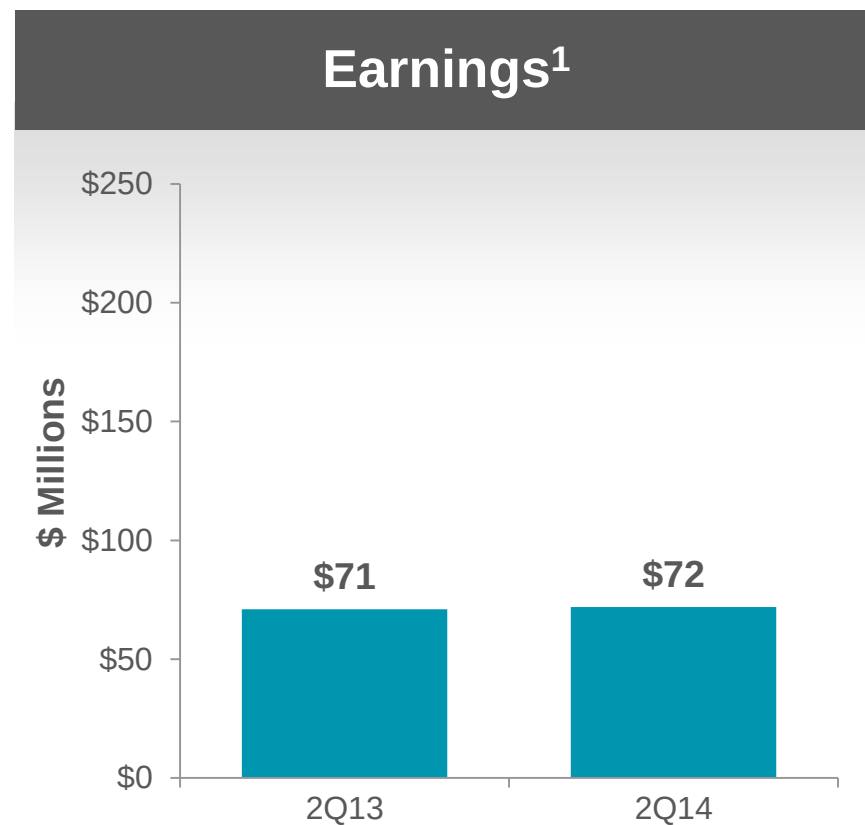
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

APAC SEGMENT PERFORMANCE



1% Reported Decline
5% Operational² Growth



1% Reported Growth
11% Operational² Growth

¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

2014 GUIDANCE

Selected Line Items	
Revenue	\$4,675 million to \$4,750 million
Adjusted cost of sales as a percentage of revenue ¹	Approximately 35.5%
Adjusted SG&A expenses ¹	\$1,440 million to \$1,480 million
Adjusted R&D expenses ¹	\$390 million to \$405 million
Adjusted interest expense and other (income) / deductions ¹	Approximately \$105 million
Effective tax rate on adjusted income ¹	Approximately 29%
Adjusted diluted EPS ¹	\$1.50 to \$1.54
Certain significant items ² and acquisition-related costs	\$175 to \$195 million
Reported diluted EPS	\$1.16 to \$1.20

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Primarily includes certain nonrecurring costs related to becoming a standalone public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, certain legal registration and patent assignment costs, as well as, restructuring, certain legal and commercial settlements, and other costs.

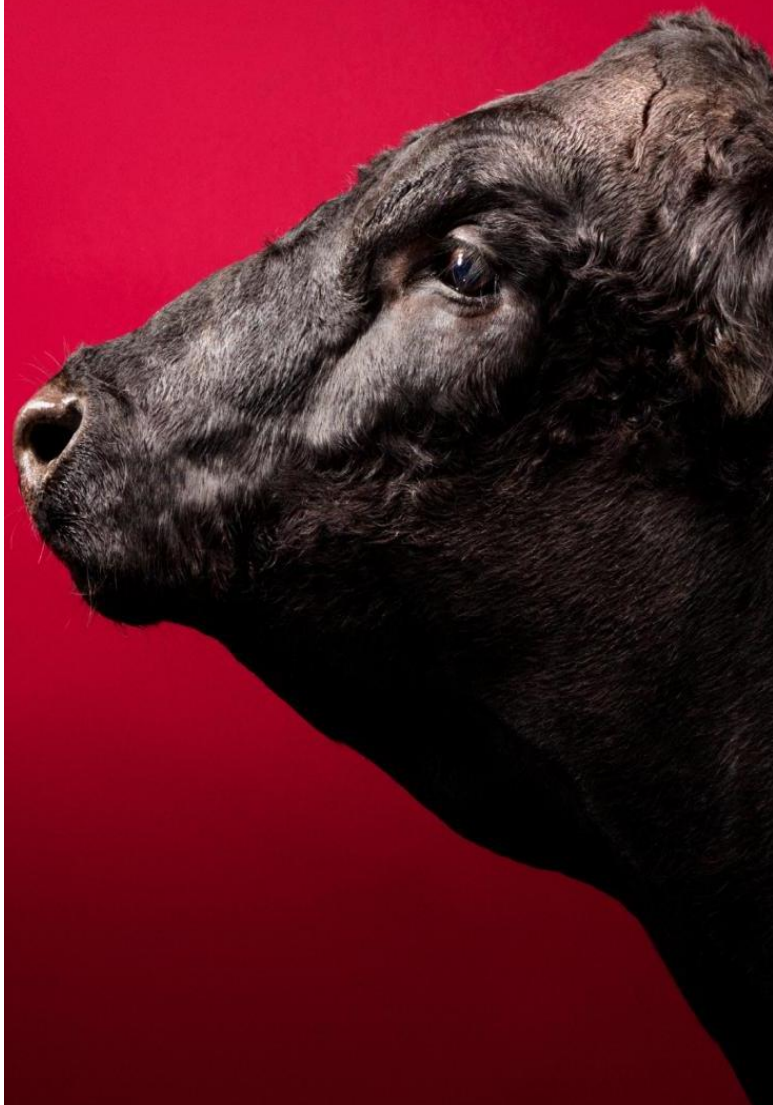
OUR LONG-TERM VALUE PROPOSITION IS DEFINED

FIVE YEAR* HORIZON AND EXPECTATION

GROW REVENUE IN LINE WITH OR FASTER
THAN THE MARKET

GROW ADJUSTED NET INCOME FASTER
THAN REVENUE

FIND PROFITABLE INVESTMENT
OPPORTUNITIES AND RETURN EXCESS
CAPITAL TO SHAREHOLDERS



* Expected Five Year Compound Annual Growth Rate (CAGR) 2012-2017

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Q&A

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